

25STCV19948 25STCV19948

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Case Number: 25STCV19948 Hearing Date: July 16, 2026 Dept: 617

Dept.

617

Date:

7-16-26

Case

#: 25STCV19948

Trial

Date: 5-10-27

DEMURRER

MOVING

PARTY: Defendant, VII Commercial Corp.

RESPONDING

PARTY: Plaintiff, C7 Endeavors, LLC

RELIEF

REQUESTED

Demurrer

to First through Sixth Causes of Action in Complaint

SUMMARY

OF ACTION

The

instant dispute centers around Plaintiff C7 Endeavors, LLC's lease of property owned by Defendant Dunn Investment Properties, Inc. (Dunn) and managed by Defendant VII Commercial Corp. (VII) Plaintiff was in discussions to become a franchisee of D-Bat Academies, Inc. to operate an indoor baseball training facility. On or about January 12, 2024, Plaintiff toured the property with representatives from Dunn and VII. Plaintiff alleges that during the tour, it identified a list of issues with the property including a roof leak and other concerns relating to HVAC, electrical wiring, faulty plumbing, mold, and cracks in the concrete flooring. Plaintiff claims that Defendants' agent, Greg Offsay, confirmed that Dunn "has the funds available and is willing to do the work to address the condition concerns that you presented in your lease comments." Defendants then sent Plaintiff a "CAPEX Project List" identifying the agreed-upon work that needed to be done. Plaintiff alleges that based on these representations, it entered into a lease agreement with Dunn. VII was a signatory as Dunn's broker.

Plaintiff

alleges that an inspection after the lease's commencement date revealed that most identified issues were not resolved, previous representations regarding completed work were false, and work actually completed was done in a shoddy manner. Plaintiff eventually elected to terminate the lease and vacated the premises. On July 7, 2025, Plaintiff filed a complaint for: (1) Breach of Contract; (2) Breach of the Covenant of Good Faith and Dealing; (3) Fraud – Intentional Misrepresentation; (4) Fraud – Negligent Misrepresentation; (5) Fraud – False Promise; (6) Constructive Eviction; and (7) Declaratory Relief.

RULING: Sustained.

VII demurs to the first through sixth causes of action in

Plaintiff's complaint, arguing that Plaintiff fails to sufficiently state its claims. VII further contends that the fraud claims fail for uncertainty.

Plaintiff opposes the demurrer, maintaining the sufficiency of its fraud-based causes of action. VII's demurrer is sustained without leave to amend as to the first, second, and sixth contract causes of action, but sustained with leave to amend as to the fraud claims.

A

demurrer is an objection to a pleading, the grounds for which are apparent from

either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

"A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Khoury v. Maly's of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616; *Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2 ["[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend"].)

First, Second, and Sixth Causes
of Action: Breach of Contract, Breach of the Covenant of Good Faith and
Dealing, and Constructive Eviction

VII's demurrer to Plaintiff's contract-based claims is sustained without leave to amend. VII argues these causes of action fail because it was not in contractual privity with Plaintiff. "[A]n agent cannot be held liable for breach of a duty which flows from a contract to which he is not party." (*Filippo Industries, Inc. v. Sun Ins. Co. of N.Y.* (1999) 74 Cal.App.4th 1429, 1443.) It follows that agents are not liable for claims derivative of the contract, such as the duty of good

faith and fair dealing. (Id. at pp. 1442-43.) Here, VII is not a party to the lease because the lease defines Plaintiff and Dunn as parties and VII is designated only as “Lessor’s Brokerage Firm.” [Compl. ¶ 22, Ex. 1, p. 1.] Plaintiff presents no argument on this point in opposition. VII’s demurrer to these claims is therefore sustained without leave to amend.

Third through Fifth Causes of

Action: Intentional Misrepresentation, Negligent Misrepresentation, and False Promise

VII

argues that Plaintiff’s fraud-based causes of action fail because they are not pled with requisite particularity.

“The

elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.) Fraud must be pled with specificity; conclusory allegations are insufficient. (Id. at p. 645.)

This requires “pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (Ibid.)

These strict pleading requirements apply to negligent misrepresentation claims. (Daniels v. Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166-67.)

VII’s

demurrer to Plaintiff’s fraud claims is sustained with leave to amend. While Plaintiff identifies specific representations made, these representations are attributed to VII and Dunn collectively as “Defendants.” [See, e.g., Compl. ¶¶ 18-19.] It thus cannot be ascertained whether the representations were made on VII’s behalf. Because there is a reasonable possibility that Plaintiff can amend its complaint to identify each alleged representation with each defendant, it is granted leave to amend.

Plaintiff

is granted 30 days’ leave to amend. Plaintiff may only add facts in support of the successfully challenged fraud-based claims. (Harris v. Wachovia Mortgage, FSB (2010) 185 Cal.App.4th 1018, 1023.) If Plaintiff declines or fails to file an amended complaint, VII shall

answer the operative complaint within 10 days of the lapsed deadline. Any new causes of action outside the scope of the order may be addressed via a motion to strike.

VII

to give notice.

Dept.

617

Date:

7-16-26

Case

#: 25STCV19948

Trial

Date: 5-10-27

DEMURRER

MOVING

PARTY: Defendant, Dunn Investment Properties, Inc.

RESPONDING

PARTY: Plaintiff, C7 Endeavors, LLC

RELIEF

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Demurrer

to Complaint

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The

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franchisee of D-Bat Academies, Inc. to operate an indoor baseball training facility. On or about January 12, 2024, Plaintiff toured the property with representatives from Dunn and VII. Plaintiff alleges that during the tour, it identified a list of issues with the property including a roof leak and other concerns relating to HVAC, electrical wiring, faulty plumbing, mold, and cracks in the concrete flooring. Plaintiff claims that Defendants' agent, Greg Offsay, confirmed that Dunn "has the funds available and is willing to do the work to address the condition concerns that you presented in your lease comments." Defendants then sent Plaintiff a "CAPEX Project List" identifying the agreed-upon work that needed to be done. Plaintiff alleges that based on these representations, it entered into a lease agreement with Dunn. VII was a signatory as Dunn's broker.

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alleges that an inspection after the lease's commencement date revealed that most identified issues were not resolved, previous representations regarding completed work were false, and work actually completed was done in a shoddy manner. Plaintiff eventually elected to terminate the lease and vacated the premises. On July 7, 2025, Plaintiff filed a complaint for: (1) Breach of Contract; (2) Breach of the Covenant of Good Faith and Dealing; (3) Fraud – Intentional Misrepresentation; (4) Fraud – Negligent Misrepresentation; (5) Fraud – False Promise; (6) Constructive Eviction; and (7) Declaratory Relief.

RULING: Sustained in part.

Dunn demurs to each cause of action in Plaintiff's complaint, arguing that Plaintiff fails to sufficiently state its claims. Plaintiff opposes the demurrer, maintaining the sufficiency of the allegations in support of its claims. Dunn's demurrer is sustained with leave to amend as to Plaintiff's fraud-based claims. The demurrer is overruled as to the remaining causes of action.

A

demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a

pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc., § 452.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.) “If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

First Cause of Action: Breach
of Contract

Dunn first argues that Plaintiff’s breach of contract cause of action fails because Plaintiff’s claimed damages are precluded by the lease agreement.

The elements of a breach of contract cause of action are: “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (D’Arrigo Bros. of Cal. v. United Farmworkers of America (2014) 224 Cal.App.4th 790, 800.)

Plaintiff’s alleged damages are not precluded by the lease agreement. Among other damages, Plaintiff alleges “expended Rent despite the Premises not being delivered.” [Compl. ¶ 60.] To the extent section 9.6 of the lease is applicable to preexisting damage on the property, it does not preclude recovery of the expended rent. Although that provision limits rent abatement to “the proceeds received from [Dunn’s] Rental Value insurance,” this merely limits the amount Plaintiff may recover rather than totally barring recovery. [Id. ¶ 22, Ex. 1, p. 8.] Thus, Plaintiff does not fail to plead damages.

Dunn also argues that the breach of contract claim fails because Plaintiff does not adequately allege breach. It points to the notice and warranty provisions in the lease as well as its limits

on modification to the premises.

Plaintiff has sufficiently alleged

Dunn's breach of the lease agreement. Plaintiff alleges Dunn breached the lease agreement by failing to comply with its maintenance and repair obligations under section 2.2. [Compl. ¶¶ 22, 54-56, Ex. 1, p. 2.] Plaintiff reported the issues to Dunn within the 30-day warranty period because it emailed Dunn its inspection findings on June 28, 2024, 28 days after the May 31, 2024 commencement date. [Id. ¶¶ 22, 35-37, Ex. 1, p. 2.] Dunn failed to remedy the issues "within a reasonable time," as contemplated by section 13.6(a) of the lease, because Plaintiff alleges the necessary repairs were never made. [Id. ¶¶ 22, 34-44, Ex. 1, p. 11.] And any limit on improvements absent Dunn's written approval is inapplicable given that Plaintiff alleges the issues on the property prevented it from building at all. [Id. ¶¶ 22, 46, Ex. 1: Addendum ¶ 53.] Plaintiff has thus sufficiently alleged Dunn's breach and the demurrer to this claim is overruled.

Second Cause of Action: Breach
of the Covenant of Good Faith and Dealing

Dunn's demurrer to Plaintiff's
cause of action for breach of the covenant of good faith and fair dealing is overruled. Dunn's demurrer to this claim rests on Plaintiff's inability to allege breach of the lease and recoverable damages. As explained above, Plaintiff has sufficiently alleged breach and damages and thus the demurrer to this claim is overruled.

Third through Fifth Causes of
Action: Intentional Misrepresentation, Negligent Misrepresentation, and False
Promise

Dunn contends that Plaintiff's
fraud-based claims fail because it does not allege its claims with requisite
particularity.

"The
elements of fraud, which give rise to the tort action for deceit, are (a)
misrepresentation (false representation, concealment, or nondisclosure); (b)
knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce
reliance; (d) justifiable reliance; and (e) resulting damage." (Lazar v.

Superior Court (1996) 12 Cal.4th 631, 638.) Fraud must be pled with specificity; conclusory allegations are insufficient. (Id. at p. 645.) This requires “pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (Ibid.) These strict pleading requirements apply to negligent misrepresentation claims. (Daniels v. Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166-67.)

Dunn’s demurrer to Plaintiff’s fraud claims is sustained with leave to amend. While Plaintiff identifies specific representations made, these representations are attributed to VII and Dunn collectively as “Defendants.” [See, e.g., Compl. ¶¶ 18-19.] It thus cannot be ascertained whether the representations were made on Dunn’s behalf. Because there is a reasonable possibility that Plaintiff can amend its complaint to identify each alleged representation with each defendant, it is granted leave to amend.

Sixth Cause of Action:
Constructive Eviction

Dunn argues that Plaintiff’s constructive eviction cause of action fails because the lease precludes Plaintiff’s ability to assert this claim. It further contends that the claim is insufficiently pled because Plaintiff did not provide notice within the warranty period and no facts indicate an interference with Plaintiff’s possession.

“A constructive eviction occurs when the acts or omissions . . . of a landlord, or any disturbance or interference with the tenant’s possession by the landlord, renders the premises, or a substantial portion thereof, unfit for the purposes for which they were leased, or which has the effect of depriving the tenant for a substantial period of time of the beneficial enjoyment or use of the premises.” (Stoiber v. Honeychuck (1980) 101 Cal.App.3d 903, 925-26.) “Failure to repair and keep the premises in a condition suitable for the purposes for which they were leased has been held to constitute eviction.” (Id. at p. 926.)

Dunn’s demurrer to Plaintiff’s constructive eviction claim is overruled. No provision of the lease limits Plaintiff’s ability to assert this claim and, as explained above, Plaintiff

provided notice of the property issues within the warranty period. Plaintiff has also alleged interference with its possession of the property because it was unable to proceed with its buildout due to Dunn's alleged failure to repair the identified issues. [Compl. ¶¶ 102-05.] The demurrer to this claim is thus overruled.

Seventh Cause of Action:

Declaratory Relief

Dunn's demurrer to Plaintiff's

claim for declaratory relief is overruled. Dunn argues this claim fails because any remedy Plaintiff seeks would be addressed by the breach of contract cause of action. While it is true that where a plaintiff has a "fully matured cause of action for money" declaratory relief is unavailable (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 909-10), Plaintiff's breach of contract action does not provide an adequate remedy for the relief it seeks here. Plaintiff alleges a current dispute whether the lease was terminated under section 3.3, thus suspending its rent obligations. [Compl. ¶¶ 110-12.] Under section 3.3, Dunn cannot be liable for failure to deliver exclusive possession of the premises; only Plaintiff's rent obligations are suspended. [*Id.* ¶ 22, Ex. 1, p. 3.] Thus, the breach of contract claim will not remedy this issue and the demurrer to this claim is overruled.

Plaintiff

is granted 30 days' leave to amend. Plaintiff may only add facts in support of the successfully challenged fraud-based claims. (*Harris v. Wachovia Mortgage, FSB* (2010) 185 Cal.App.4th 1018, 1023.) If Plaintiff declines or fails to file an amended complaint, Dunn shall answer the operative complaint within 10 days of the lapsed deadline. Any new causes of action outside the scope of the order may be addressed via a motion to strike.

Dunn

to give notice.